IN THE NATIONAL COMPANY LAW TRIBUNAL,
SINGLE BENCH, CHENNAI

CA/280/CAA/2019

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of Composite Scheme of Arrangement

Between

M/s. Chemplast Sanmar Limited
(Demerged Company/Transferee Company-I)

And

M/s. Sanmar Speciality Chemicals Limited
(Transferor Company-I)

And

M/s. Chemplast Cuddalore Vinyls Limited
(Resulting Company)

And

M/s. Sanmar Engineering Services Limited
(Transferee Company-II)

And

M/s. SHL Securities (Alpha) Limited
(Transferor Company-II)

Order delivered on 8th March, 2019

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CH. MOHD SHARIEF TARIQ, MEMBER (JUDICIAL)

For Applicant(s) :Mr. Rajasekhar VK, Counsel
Mr. B Sarathbabu, Counsel

ORDER

Per: CH. MOHD SHARIEF TARIQ, MEMBER (JUDICIAL)

1. Under consideration is a joint Application filed under Sections 230 to 232 of the Companies Act, 2013. The prayer made is to dispense with convening, holding and conducting of the meeting of Equity Shareholders, Secured and Unsecured Creditors in relation to the Applicant Companies.

2. **M/s. Chemplast Sanmar Limited**

i. The Demerged Company/Transferee Company-I viz., M/s. Chemplast Sanmar Limited has 9 (Nine) Equity Shareholders. The list of Equity Shareholders is placed at page 682 of the typed set filed with the Application. The consent affidavits given by all Equity Shareholders are placed at pages 687-713 of the typed set filed with the Application, wherein it has been deposed that they do support the Scheme and consent to dispense with convening, holding and conducting the meeting of Equity Shareholders. Therefore, the meeting of the Equity Shareholders of the Demerged

Company/Transferee Company-I is allowed to be dispensed with.

ii. There are 5 (Five) Secured Creditors in relation to the Demerged Company/Transferee Company-I. The certificate issued by the Chartered Accountants to this effect is placed at page 798 of the typed set filed with the Application. The consent affidavits given by the Secured Creditors are placed at pages 811-827 of the typed set filed with the Application.

Therefore, the meeting of the Secured Creditors is allowed to be dispensed with under Clause (9) of the Section 230 of the Companies Act, 2013.

iii. There are 112 Unsecured Creditors in relation to the Demerged Company/ Transferee Company-I. The certificate issued by the Chartered Accountants to this effect is placed at page 799-801 of the typed set filed with the Application. Out of 112 Unsecured Creditors, 65 have given the consent affidavits which constitute 95.56% of the total value of credit. The consent affidavits given by the Unsecured Creditors are placed

at pages 828-1069 of the typed set filed with the Application.

Therefore, the meeting of the Unsecured Creditors is allowed to be dispensed with under clause (9) of the Section 230 of the Companies Act, 2013.

3. **M/s. Sanmar Speciality Chemicals Limited**

i. The Transferor Company-I viz., M/s. Sanmar Speciality Chemicals Limited has 7 (Seven) Equity Shareholders. The list of Equity Shareholders is placed at page 683 of the typed set filed with the Application. The consent affidavits given by the Equity Shareholders are placed at pages 714-734 of the typed set filed with the Application, wherein it has been deposed that they do support the Scheme and consent to dispense with convening, holding and conducting the meeting of Equity Shareholders. Therefore, the meeting of the Equity Shareholders of the Transferor Company-I is allowed to be dispensed with.

ii. There are no Secured Creditors in relation to the Transferor Company-I. The certificate issued by the

Chartered Accountants to this effect is placed at page 802 of the typed set filed with the Application.

iii. There are 22 Unsecured Creditors in relation to the Transferor Company-I. The certificate issued by the Chartered Accountants to this effect is placed at page 803-804 of the typed set filed with the Application. Out of 22 Unsecured Creditors, 16 have given the consent affidavits which constitute 99.96% of the total value of credit. The consent affidavits given by the Unsecured Creditors are placed at pages 1070-1131 of the typed set filed with the Application.

Therefore, the meeting of the Unsecured Creditors is allowed to be dispensed with under clause (9) of the Section 230 of the Companies Act, 2013.

4. **M/s. Chemplast Cuddalore Vinyls Limited**

i. The Resulting Company viz., M/s. Chemplast Cuddalore Vinyls Limited has 7 (Seven) Equity Shareholders. The list of Equity Shareholders is placed at page 684 of the typed set filed with the Application.

The consent affidavits given by the Equity Shareholders are placed at pages 735-755 of the typed set filed with the Application, wherein it has been deposed that they do support the Scheme and consent to dispense with convening, holding and conducting the meeting of Equity Shareholders. Therefore, the meeting of the Equity Shareholders of the Resulting Company is allowed to be dispensed with.

ii. There are no Secured Creditors in relation to the Resulting Company. The certificate issued by the Chartered Accountants to this effect is placed at page 805 of the typed set filed with the Application.

iii. There is only 1 (One) Unsecured Creditor in relation to the Resulting Company. The certificate issued by the Chartered Accountants to this effect is placed at page 806 of the typed set filed with the Application. The consent affidavits given by the Unsecured Creditor is placed at pages 1132-1134 of the typed set filed with the Application.

Therefore, the meeting of the Unsecured Creditor is allowed to be dispensed with under clause (9) of the Section 230 of the Companies Act, 2013.

5. **M/s. Sanmar Engineering Services Limited**

i. The Transferee Company-II viz., M/s. Sanmar Engineering Services Limited has 7 (Seven) Equity Shareholders. The list of Equity Shareholders is placed at page 685 of the typed set filed with the Application. The consent affidavits given by all the Equity Shareholders are placed at pages 756-776 of the typed set filed with the Application, wherein it has been deposed that they do support the Scheme and consent to dispense with convening, holding and conducting the meeting of Equity Shareholders. Therefore, the meeting of the Equity Shareholders of the Transferee Company-II is allowed to be dispensed with.

ii. There are 2 (Two) Secured Creditors in relation to the Transferee Company-II. The certificate issued by the Chartered Accountants to this effect is placed at

page 807 of the typed set filed with the Application. The consent affidavits given by the Secured Creditors are placed at pages 1135-1142 of the typed set filed with the Application.

Therefore, the meeting of the Secured Creditors is allowed to be dispensed with under Clause (9) of the Section 230 of the Companies Act, 2013.

iii. There are 2 (Two) Unsecured Creditors in relation to the Transferee Company-II. The certificate issued by the Chartered Accountants to this effect is placed at page 808 of the typed set filed with the Application. The consent affidavits given by the Unsecured Creditors are placed at pages 1143-1148 of the typed set filed with the Application.

Therefore, the meeting of the Unsecured Creditors is allowed to be dispensed with under clause (9) of the Section 230 of the Companies Act, 2013.

6. **M/s. SHL Securities (Alpha) Limited**

i. The Transferor Company-II viz., M/s. SHL Securities (Alpha) Limited has 7 (Seven) Equity

Shareholders. The list of Equity Shareholders is placed at page 686 of the typed set filed with the Application. The consent affidavits given by the Equity Shareholders are placed at pages 777-797 of the typed set filed with the Application, wherein it has been deposed that they do support the Scheme and consent to dispense with convening, holding and conducting the meeting of Equity Shareholders. Therefore, the meeting of the Equity Shareholders of the Transferor Company-II is allowed to be dispensed with.

ii. There are no Secured Creditors in relation to the Transferor Company-II. The certificate issued by the Chartered Accountants to this effect is placed at page 809 of the typed set filed with the Application.

iii. There is only 1 (One) Unsecured Creditor in relation to the Transferor Company-II. The certificate issued by the Chartered Accountants to this effect is placed at page 810 of the typed set filed with the Application. The consent affidavits given by the

Unsecured Creditor is placed at pages 1149-1151 of the typed set filed with the Application.

Therefore, the meeting of the Unsecured Creditor is allowed to be dispensed with under clause (9) of the Section 230 of the Companies Act, 2013.

7. The Registry is directed to issue notice to the concerned Regional Director, Ministry of Corporate Affairs, RoC, Income Tax Authorities including the Assessing Officer of the I.T. Circle and OL in relation to the Transferor Company I & II with the direction to appoint Chartered Accountants on his own for filing report. In case, the statutory authorities to whom notice is issued are desirous of making any objection/representation, they may do so within 30 days from the date of receipt of the notice. In case no objection/representation is made, it shall be presumed that they/any of them have/has no objection/representation to make.

8. The Applicants are directed to issue private notice to the concerned authorities/regulators by way of speed post/hand delivery separately. The proof of sending and effecting the service of notice upon them along with the newspaper publication shall be submitted with the supporting affidavit to this Bench along with Company Petition(s).

9. The Applicant companies are directed to effect publication separately in the newspapers one in English "The New Indian Express" (Tamilnadu Edition) and another in vernacular language "Dina Mani" (Tamilnadu Edition) provided the said newspapers have wide circulation in the State of Tamilnadu, having not less than 30+2 days before filing the Company Petition(s). The Applicants are directed to upload the notice on their websites and display the notice on the notice board at the Registered Office of their respective companies. The Registry is also directed to display the notice on the notice board of this Bench.

10. Accordingly, the Application is allowed. The Applicant Companies are directed to present the Petition(s) on or before 18.04.2019.

[CH. MOHD. SHARIEF TARIQ]
MEMBER (JUDICIAL)

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